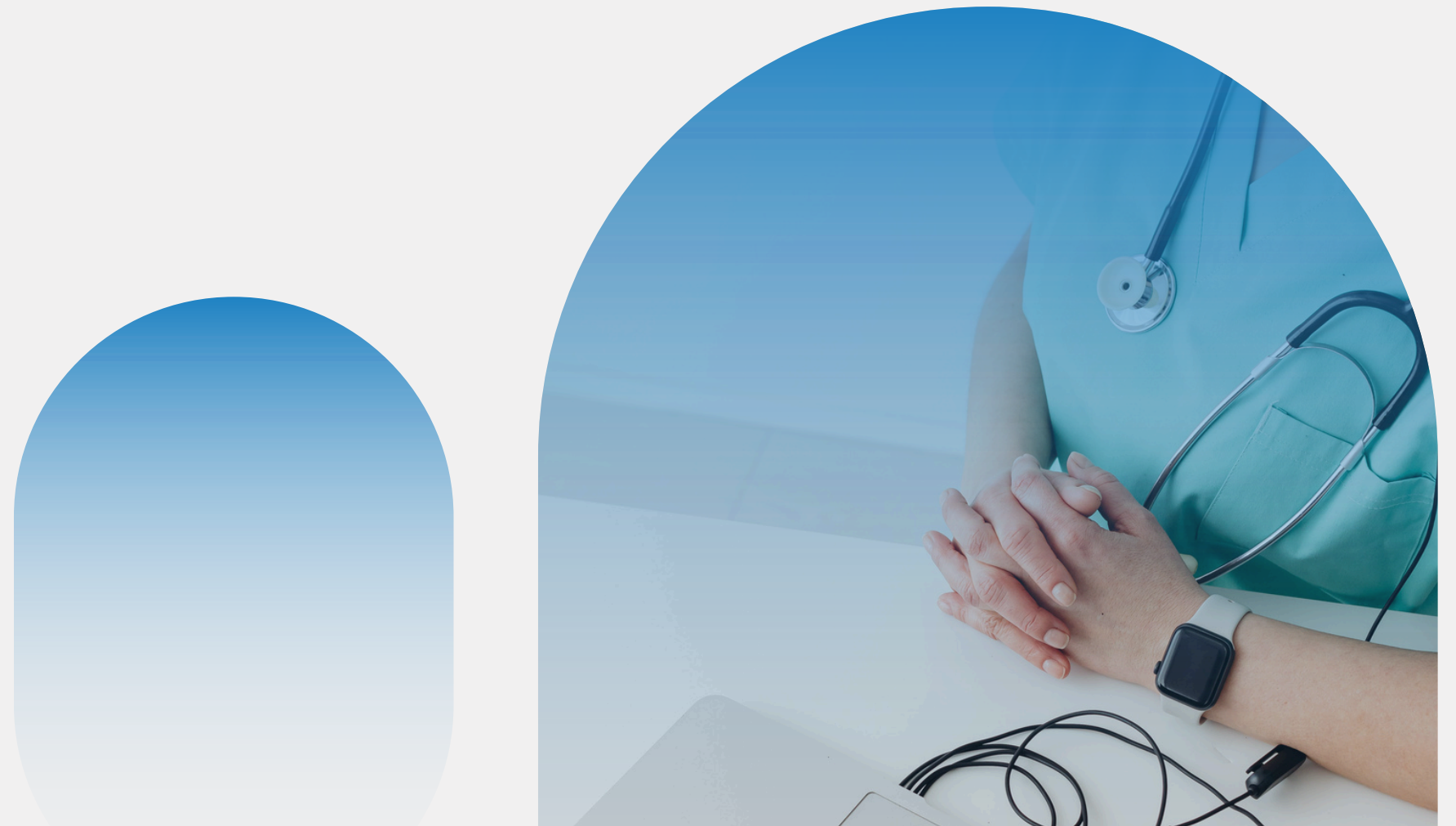


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April 2026





Executive Summary

Recommendation

A&A should enter the barbed suture market immediately through IP acquisition and outsourced manufacturing, while simultaneously developing spiral sutures in-house to secure long-term premium market leadership.

Key Decisions

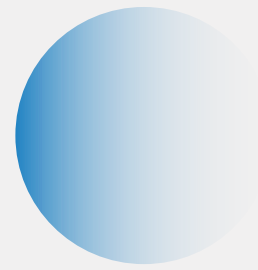
- R&D: Purchase symmetrical IP + develop spiral internally
- Pricing: High
- Marketing: Gold (drive adoption)
- Supply Chain: New Plant Construction
- Human Capital: Full-Time Employees

Key Results

- Market Share: 56.4% → ~90%
- NPV: ~\$24–25M
- Gross Profit: \$8.3M → \$91.4M (~75%–77% margin)
- Net Income: ~\$39M (33% margin)

Strategy:

Captures the fastest-growing segment, maximizes margins, and achieves market leadership with lower capital risk



Market Overview

Market Size & Growth

- CAGR: ~6.5–7.8%
- Barbed sutures growing fastest (9–12% CAGR)

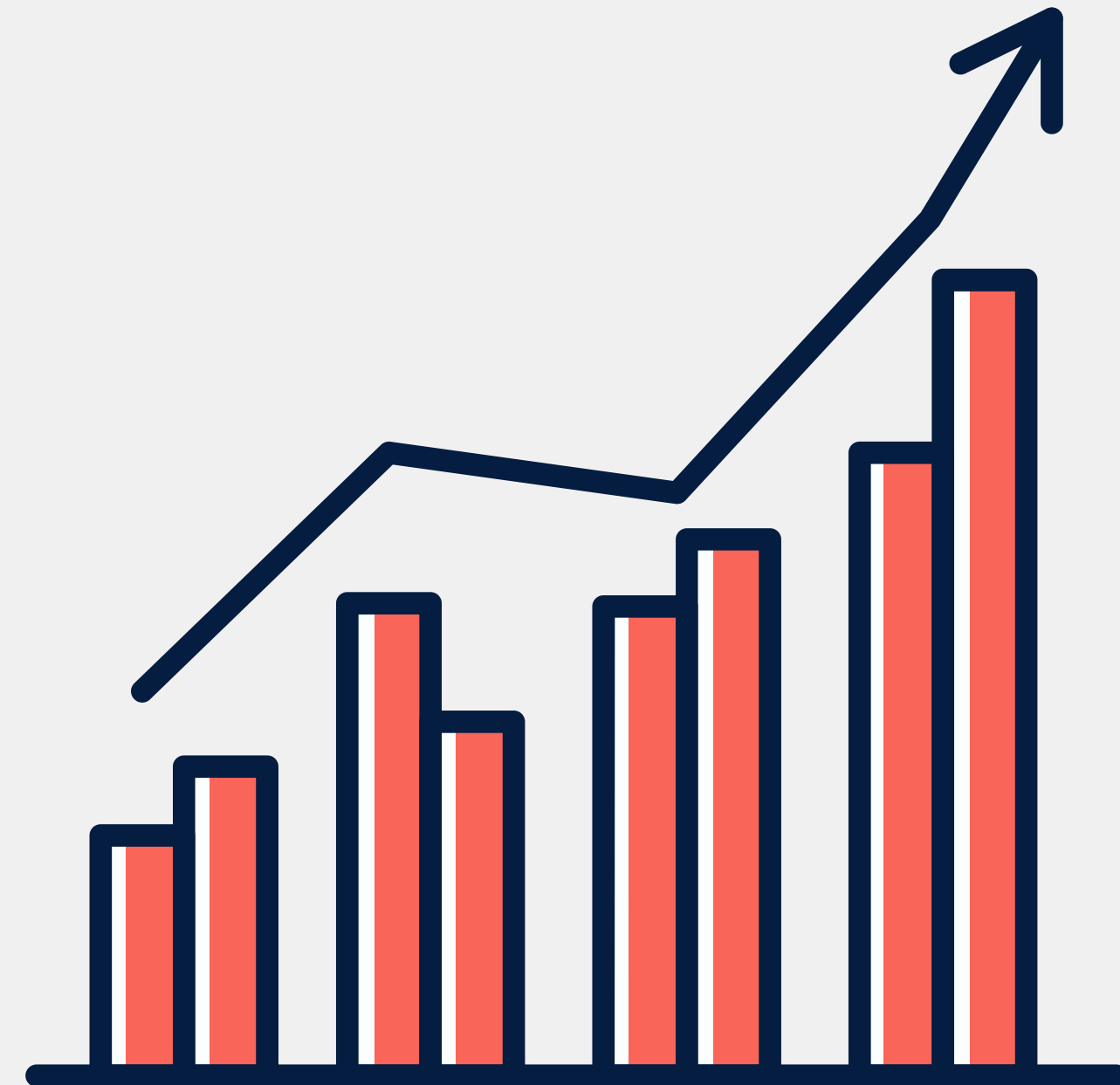
Key Drivers

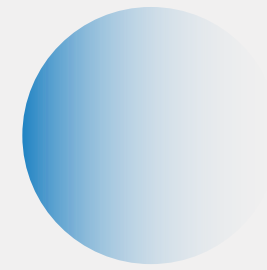
- More surgeries + aging population
- Improved efficiency, lower infection risk

Adoption Insight

- Surgeons require training and trust

Immediate entry is critical to capture the fastest-growing segment





Market Position

56.4% A&A holds 56.4% market share in traditional sutures

A&A Market Position

- Market leader in traditional sutures with strong hospital relationships
- High brand trust and established surgeon usage
- Large installed base across high-volume procedures



Strategic Gap

- No presence in barbed sutures segment
- Market shifting toward advanced wound closure solutions
- Risk of losing share as surgeons adopt newer technologies

A&A's leadership in traditional sutures is strong, but without entering barbed sutures, its market position is at risk. A&A must enter immediately to defend share and capture emerging growth



Competitive Landscape

Athena (Kronos)

- \$221M revenue, smaller but specialized
- Early patent (1999) + FDA approval (2005)
- Advanced product design (bi/unidirectional sutures)
- Competes through differentiation, not scale

Takeaway:
Niche innovator with strong product design

Crius (Poseidon)

- \$11.9B revenue, global scale (55% U.S.)
- FDA-approved barbed suture (since 2010)
- Strong device portfolio (68% of revenue)
- Proven clinical performance and adoption

Takeaway:
Dominant incumbent with scale and credibility

Emerging / Adjacent Players

- Smaller firms (e.g., Hades Medical) → niche innovations
- Adjacent tech (Apollo & Nyx) → alternative wound care
- Increasing innovation pressure in wound closure

Takeaway:
Market becoming more competitive and innovation-driven

SWOT Analysis

Strengths	Weaknesses	Opportunities	Threats
• Market leader with 56.4% share in traditional sutures • Global scale: 128k employees, 250 companies • Leadership in 80% of MedTech platforms • Strong quality, reliability, and patient outcome reputation	• No barbed sutures; competitors already FDA-approved • Plant at 100% capacity limits growth • High capital needs for expansion/new plant • 3–5 year internal manufacturing timeline	• First-mover potential in spiral sutures • Ability to grow beyond 56.4% share with premium innovation • New marketing channels (conferences, demos, training) • Outsourcing enables immediate revenue	• Strong competitors (Crius Poseidon, Athena Kronos) • Substitute tech (staples, adhesives) • Regulatory complexity & cost • Pricing pressure + rising material costs • Disruptive innovation from smaller players

Credo Alignment



Patient Value & Quality

- Reduces surgery time → improves outcomes and lowers total cost of care
- Lowers infection risk → reduces complications and readmissions
- Premium pricing aligned with clinical value, not cost alone



Access & Affordability

- IP acquisition → enables immediate market entry and broader access
- Outsourcing → reduces costs and improves scalability
- Supports long-term pricing flexibility as adoption increases



Stakeholder Impact

- Patients: Better outcomes, fewer infections
- Employees: Workforce stability
- Community: Greater surgical access
- Stockholders: NPV \$24.7M



Strategy Overview



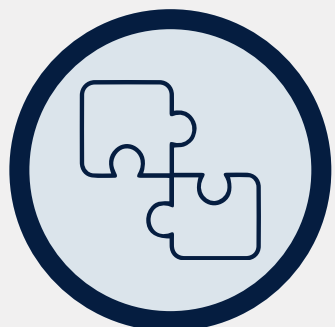
Symmetrical sutures

- Purchase IP for symmetrical sutures
- Outsource manufacturing
- → Capture market NOW



Spiral sutures

- Internally develop spiral sutures
- → Capture premium, differentiated demand



Combined strategy

- Pair fast entry with long-term innovation
- High pricing → maximize margins
- Gold marketing → drive adoption
- Scale early adoption into market leadership



R&D + Price Strategy

R&D Strategy:

- Symmetrical (IP) → immediate revenue + market defense
- Spiral (internal) → first-mover advantage + premium growth

Financial Impact:

- Protects Current Marketshare
- Stronger long-term profitability
- Supports reinvestment into innovation

Tradeoff:

- Lower adoption initially → mitigated by marketing



Marketing Strategy

Recommendation: Gold-tier marketing

Why it matters:

- Surgeons are resistant to change
- Adoption requires training + trust

Execution:

- Conferences
- Live demonstrations
- Direct surgeon engagement

Impact:

- Accelerates adoption curve
- Increases market penetration
- Justifies premium pricing

In healthcare, credibility drives demand





Supply Chain Strategy



Recommendation: **Outsourcing**



Why

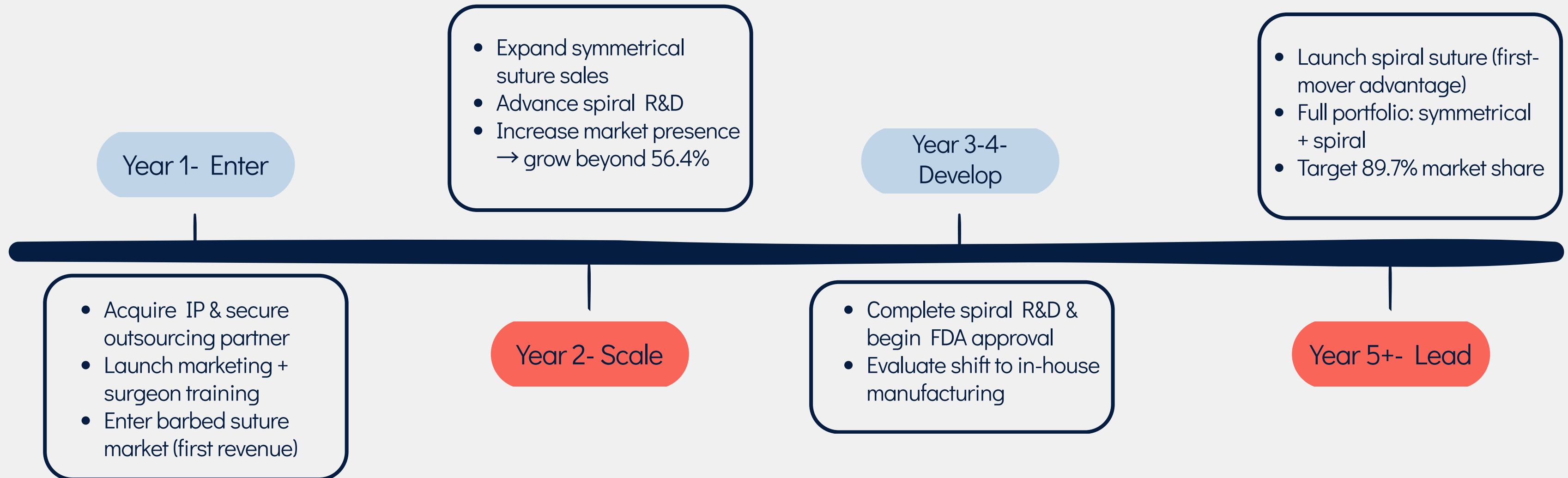
- Immediate production → Year 1 revenue
- Lowest upfront CapEx
- Operational flexibility
- Defends market share

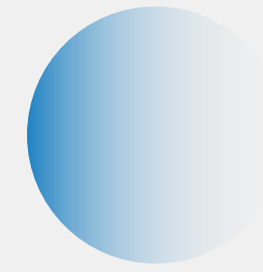


Financial Advantage

- Higher NPV vs plant investment
- Avoids 3–5 year delays
- Improves early cash flow timing

Implementation Roadmap





Sensitivity Analysis

Scenario	Change	Key Impact	NPV Effect
Pricing Sensitivity	High → Medium/Low	↑ Adoption ↓ Margins	↓ NPV (volume doesn't offset)
Marketing Sensitivity	Gold → Medium/Low	↓ Surgeon adoption ↓ Market share	Weakens long-term position
Supply Chain Sensitivity	Outsource → New Plant	~Same share, ↑ CapEx	↓ NPV (delayed returns)

Strategic Tradeoffs



Conservative Strategy (Low Cost Approach)

- Low pricing
- Lower marketing
- Focus on adoption over margins
- Result: higher volume but weaker profitability



Premium Strategy (High Cost Approach)

- High pricing
- Gold marketing
- New plant
- Result: strong share but lower NPV due to high CapEx



Internal Development Only Strategy

- Fully internal R&D (no IP purchase)
- Delayed market entry
- Higher upfront development time and cost
- Result: lost early market share and weaker overall NPV due to delayed adoption

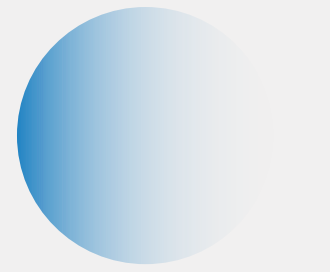
Key Assumptions & Tradeoffs

Strategy Assumptions

- **Premium Pricing:** Clinical value outweighs price sensitivity
- **Gold Marketing:** Training drives surgeon switching
- **Outsourcing:** Speed + capital efficiency > control
- **IP + Internal R&D:** Immediate entry + long-term differentiation

Tradeoffs

- **Lower Pricing:** Higher adoption but lower margins & NPV
- **Reduced Marketing:** Lower cost but slower adoption & weaker share
- **New Manufacturing Plant:** More control but high CapEx + delayed returns
- **Full Internal Development:** Strong differentiation but delayed entry & lost early share



Financial Analysis

Financial Performance Summary

- Strong performance driven by:
 - Early market entry
 - Premium pricing
 - Capital-efficient outsourcing
- Result: High market share growth + superior returns



Financial Metrics

- Market Share: 56.4% → ~90% (peak)
- NPV: ~\$24–25M (highest among strategies)
- Net Income: ~\$39M
- Industry Growth: ~7.5%
- Outperformance driven by barbed segment entry



Value Drivers

- Premium Pricing → Higher margins per unit
- Gold Marketing → Faster adoption & share gain
- Outsourcing → Lower CapEx + better cash flow timing
- IP + Internal R&D → Immediate revenue + long-term growth

Why this Strategy **WINS**

01 Capture High-Growth Segment

- Focus on barbed sutures (shifting demand)
- Positions A&A in fastest-growing segment

02 Drive Early Adoption & Share

- Immediate entry via IP + outsourcing
- Gold marketing → faster surgeon adoption
- Builds long-term customer stickiness

03 Maximize Profitability

- Premium pricing → stronger margins
- Product supports premium positioning

04 Capital Efficient & Scalable

- Outsourcing → lower upfront investment
- Higher NPV, lower execution risk
- Scalable over time

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Thank you

Any questions?

